

FEDERAL MARITIME COMMISSION

Docket No. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A.

v.

**WALLENIUS WILHELMSSEN LOGISTICS AS, WALLENIUS WILHELMSSEN
LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC.,
NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC.,
MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC.,
KAWASAKI KISEN KAISHA, LTD., "K" LINE AMERICA, INC.,
COMPAÑÍA SUD AMERICANA DE VAPORES S.A., AND HOEGH AUTOLINERS AS**

**JOINT MOTION AND MEMORANDUM FOR APPROVAL
OF SETTLEMENT AGREEMENT, DISMISSAL WITH PREJUDICE
OF THE COMPLAINT AGAINST KAWASAKI KISEN KAISHA, LTD AND "K" LINE
AMERICA, INC., AND TREATMENT OF SETTLEMENT AGREEMENT AS
CONFIDENTIAL**

I. INTRODUCTION

Pursuant to Federal Maritime Commission Rules of Practice and Procedure 72, 91, and 5, 46 C.F.R. §§ 502.72, 502.91, and 502.5, Complainants Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.P.A (collectively referred to herein as "FCA") and Respondents Kawasaki Kisen Kaisha, Ltd. and "K" Line America, Inc. (referred to herein as "'K" Line") jointly move for: (1) approval of the Confidential Settlement Agreement and Release (the "Settlement Agreement"); (2) dismissal of the Complaint against "K" Line with prejudice; and (3) an order that the Settlement Agreement be held confidentially by the Presiding Judge and the Commission and barred from public view or disclosure.

The Settlement Agreement is separately filed confidentially as **CONFIDENTIAL EXHIBIT “A.”**

II. STATEMENT OF FACTS

FCA commenced this proceeding by filing its Complaint on October 6, 2017, against, among others, “K” Line. Since then, FCA and “K” Line (the “Settling Parties”) have engaged in good-faith settlement negotiations in light of the anticipated substantial costs of continued litigation and the uncertainties inherent in the outcome of complex litigation. The Settling Parties have concluded that each faces the substantial costs of further litigation. Consequently, the Settling Parties have entered into the Settlement Agreement. The Settlement Agreement was negotiated and entered into after good-faith negotiations and with the benefit of legal counsel.

III. ARGUMENT

A. The motion to approve the Settlement Agreement and dismiss the complaint against “K” Line with prejudice should be granted.

The motion to approve the Settlement Agreement and dismiss the above-captioned proceeding with prejudice as to “K” Line should be granted. It is “well settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid.” *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1092 (A.L.J. 1978); accord *American Stevedoring, Inc. v. The Port Authority of New York and New Jersey*, No. 10-05, 2011 WL 7144009, at *1 (ALJ Oct. 27, 2011) (Notice Not to Review served Dec. 2, 2011); *Smartstone Private Limited v. General Noli USA, Inc.*, No. 1946(F), 2015 WL 4537579, at *2 (A.L.J. July 22, 2015) (same) (Notice Not to Review Served Aug. 24, 2015). The Commission finds settlements particularly appealing when the parties are confronted with the prospect of expensive further litigation and uncertainty as to the outcome. See *Celanese Corp. v. The Prudential Steamship Co.*, 20 S.R.R. 27, 30 (ALJ 1980). That is

because “[r]eaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *Smartstone*, No. 1946(F), 2015 WL 4537579, at *3 (quoting *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009)). Nonetheless, the Commission does not approve settlement agreements if the agreement would violate the law or policy, or is infected by fraud, duress, undue influence, mistake, or other defects. *Id.*, at *2; *Old Ben Coal*, 18 S.R.R. at 1093.

The Settlement Agreement negotiated by the Settling Parties, with the advice and assistance of their counsel, is reasonable and not inconsistent with any law or policy. The Settling Parties have carefully considered the costs, benefits, and risks of further litigation, and have concluded that settlement is in their mutual interests. Similarly, the Settlement Agreement—an agreement between and negotiated by sophisticated business entities—was reached in good faith and is free of fraud, duress, undue influence, mistake, or any other defect that would bar its approval. Indeed, the Presiding Judge has previously approved like settlements for other parties in a matter arising out of the same facts and circumstances as that presented by the Complaint and Settlement Agreement in this case. *See General Motors LLC v. Nippon Yusen Kabushiki Kaisha et al.*, Docket No. 15-08 (Initial Decision approving settlement, July 29, 2016). Consequently, the Settling Parties respectfully request that the Settlement Agreement be approved and that all of FCA’s claims against “K” Line in the above-captioned proceeding be dismissed with prejudice.

B. The Settling Parties request that the Settlement Agreement be treated as confidential.

The Settling Parties also request that the Settlement Agreement be held confidentially by the Commission. Parties may request confidentiality of a document under Commission Rule 5. 46 C.F.R. § 502.5. As the Commission has held, “[i]f parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Smartstone*, No. 1946(F), 2015 WL 4537579, at *3; *American Stevedoring*, 2011 WL 7144009, at *2 (quoting *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, No. 00-04, 2000 WL 1920488, at *3 n.7 (ALJ Sep. 15, 2000)); *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc. and Ignacio Gomez*, 29 S.R.R. 227, 227-29 (ID 2001); *Marine Dynamics v. RTM Line, Ltd.*, 27 S.R.R. 503, 504 (ID, Admin. Final 1996).

Under the terms of the Settlement Agreement, the Settling Parties must keep the terms of the Settlement Agreement confidential. This confidentiality requirement is an important and necessary element of the Settlement Agreement; it could be compromised by a breach of such confidentiality. The Settling Parties therefore respectfully request that the Commission keep the unredacted copy of the Settlement Agreement confidential. Because the entire Settlement Agreement is confidential, the Settling Parties have not filed a public version of the Settlement Agreement. Commission precedent provides that settling parties need not file a public version of a settlement in such circumstances. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, No. 13-07, 2015 WL 1928868, at *6 (FMC Apr. 14, 2015) (concluding that parties had complied with Commission Rule 5 even though “[n]o public version of the Agreement has been filed, as the parties seek to have the entire Agreement treated confidentially”). Where, as here, the Settling Parties “want to maintain confidentiality of the Settlement Agreement as it contains terms setting

out the settlement amount, as well as terms governing the release of all claims related to the controversy involved” and there is no “public interest in disclosure of the settlement amount or the terms of the release of the involved claims, that outweighs the Parties’ interest in maintaining the confidentiality of these terms,” the agreement should be held confidentially, *Id.* at *7.

IV. CONCLUSION

For the reasons above, the Settling Parties respectfully request that (1) the Presiding Judge approve the Settlement Agreement; (2) Kawasaki Kisen Kaisha, Ltd. and “K” Line America, Inc. be dismissed with prejudice; and (3) the Settlement Agreement be treated as confidential.

Dated: April 23, 2019

Respectfully submitted,

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*Counsel for Respondents Kawasaki Kisen Kaisha,
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CERTIFICATE OF SERVICE

I hereby certify that I served the foregoing document on all parties of record by electronic mail.

DATED: April 23, 2019

/s/ Jessica A. Sprovtsoff
Jessica A. Sprovtsoff